

JAPAN

THE AUTO INDUSTRY'S QUIET CRISIS

It's not just China.
The fortress is cracking
everywhere.

An under-discussed story in Europe: how China's auto rise is reshaping Japan's position at home, in ASEAN, in Australia, and across Latin America.

MARKET-BY-MARKET REALITY CHECK · 2025

The pressure on Japan is global.

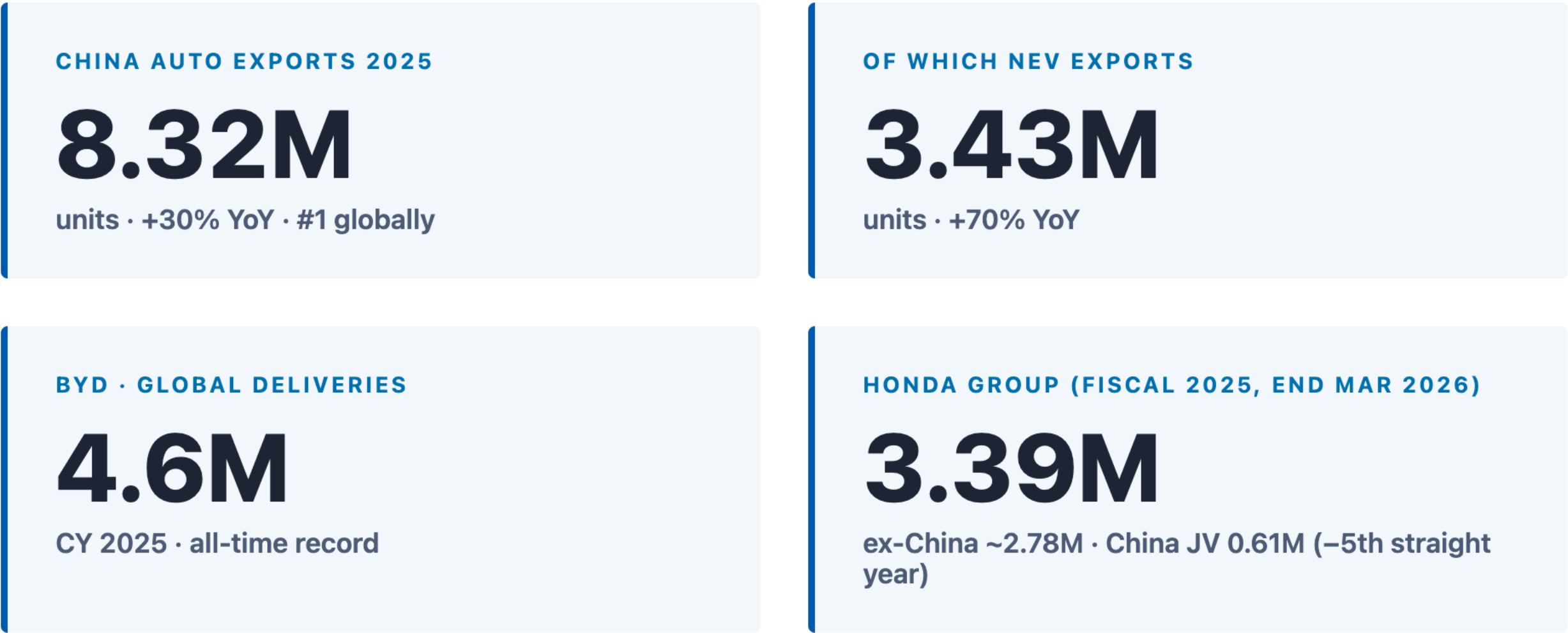
	Japan (home market) BYD outsold Toyota's entire EV lineup in 2024 — and doubled again in 2025 to ~4,500 EVs.	EARLY WARNING
	Thailand Japanese share 85% → 70%. Chinese share 4% → 21.5%. BEV segment: 82% Chinese.	CRACKING
	Indonesia Japanese share 92% → 83%. Chinese sales +153% YoY. EV segment: 90% Chinese.	CRACKING
	Australia Toyota still #1 (19.9%). Chinese brands 14% → 18%. Japanese OEMs collectively –20% in early '26.	ERODING
	Mexico & Brazil MX: BYD owns ~70% of EV/PHEV. BR: BYD 85% of EV. Toyota Brazil –16% YoY.	CRACKING
	China Japan from ~23% (2019 peak) to under 10% in 2025. ~3M units, –7% YoY.	ALREADY LOST

China was the leading indicator. The rest is the trend.

CHINA'S EXPORT ENGINE · 2025

What's pushing **Japan** out of every market.

China is now the world's largest auto exporter for the **third year running**. NEV exports doubled. BYD alone now ships more vehicles globally than Honda or Nissan.



The Chinese export wave is not a forecast. It is what's hitting Japan in every market on the previous slide — Bangkok showrooms, Jakarta dealers, Sydney rankings, Mexico City lots.

JAPAN'S RESPONSE · FRONT 1 · PROPULSION

Hybrid was the bridge. Now it might be the trap.

Toyota's HEV expertise is globally unmatched. But in China, NEVs crossed **50%+ of passenger car sales in 2025**. A market past 50% electrification doesn't need a bridge anymore.

TOYOTA

Localize fast — bZ3X with 65% Chinese supplier rate.

Solid-state battery commercialization targeted 2027–28. Triple EV production to 600K in 2025.

HONDA

Cutting ICE capacity in China; accelerating EV launches.

¥10T EV/battery plan slashed. Canadian EV plant shelved. Afeela JV with Sony scrapped.

NISSAN

10 new NEV models planned for China by 2027.

"In China, for China, to global" — using China as export hub. Two years of losses.

Verdict: hybrids protect global share. They do not recover China.

JAPAN'S RESPONSE · FRONT 2 · ADAS & AUTONOMY

China standardized L2+. Japan is still building the framework.

BYD's God's Eye system now ships as standard across most 2025 models, powered by the in-house **Xuanji A3 chip — 4nm, 2,100 TOPS in cluster configuration**. Japanese OEMs are building toward L4 by 2027 through strategic partnerships, not in-house silicon.

TOYOTA

L4 target 2027 · Waymo collaboration framework (April 2025).
Arene SDV platform debuts on 2026 RAV4 (Japan first). NTT partnership for AI infra.

HONDA

L4 personal vehicles targeted ~2027 · Helm.ai partnership.
End-to-end ADAS for next EV/HEV models in North America & Japan ~2027.

NISSAN

ProPILOT 2.1 live on 2025 models · Wayve AI from 2027.
Autonomous mobility services target FY2027 (Yokohama). 90% of fleet by early 2030s.

The gap is not technology depth — it is deployment velocity. China: 18–24 months. Japan: 4–5 years (Itochu Research Institute).

JAPAN'S RESPONSE · FRONT 3 · SOFTWARE-DEFINED CABIN

The cockpit is where Japan is furthest behind.

Chinese cockpits now run multimodal AI companions — proactive, OTA-iterated, deeply integrated with the local ecosystem (WeChat, Alipay, Amap). The structural disadvantage for Japan is not budget. It's engineering DNA: hardware-first, with a critical software talent shortage and 4–5 year product cycles.

THE SIGNAL MOMENT

GAC Toyota bZ7 launched March 2026 running Huawei HarmonyOS.

A Japanese OEM shipping a Chinese OS in its own car. Three thousand orders in the first hour.

JAPAN'S PLATFORM PLAY

Toyota Arene debuts on 2026 RAV4 (Japan first).

Honda SDV target ~2026. Nissan SDV launch planned 2025. All three building in-house software subsidiaries.

NATIONAL STRATEGY

Japan's Mobility DX Strategy: 30% global SDV market share by 2030.

Government-led coordination; Advanced SoC Technology Research Association for Automobiles (ASRA).

The gap to close is not incremental. The cockpit a Chinese buyer expects in 2025 is not the same product category Japanese OEMs ship today.

THE VERDICT · WHERE JAPAN STILL WINS, WHERE THE WINDOW IS CLOSING

Three durable advantages. Three places the clock is running.

✓ DURABLE ADVANTAGES	⚠ THE WINDOW IS CLOSING
HEV globally — Toyota's hybrid lead is real and not easily replicated.	China market — under 10% share and falling; likely non-recoverable at scale.
Reliability & safety — decades of brand trust across 190+ markets.	Southeast Asia — Chinese EVs displacing Japanese ICE dominance.
India beachhead — Suzuki holds ~40% of India's PV market; exporting back to Japan.	Software — 5–7 yr build cycle against OTA-iterating competitors.
Safety culture & certification — ISO 26262 depth and validation discipline.	Young buyer perception — intelligence gap visible at every touchpoint.

The 1980s comparison runs in reverse now. **Japan once built faster and smarter. China studied the playbook — then improved it.**